# Current Figures

August 6, 2026

## Recovered parameters under the two sector definitions

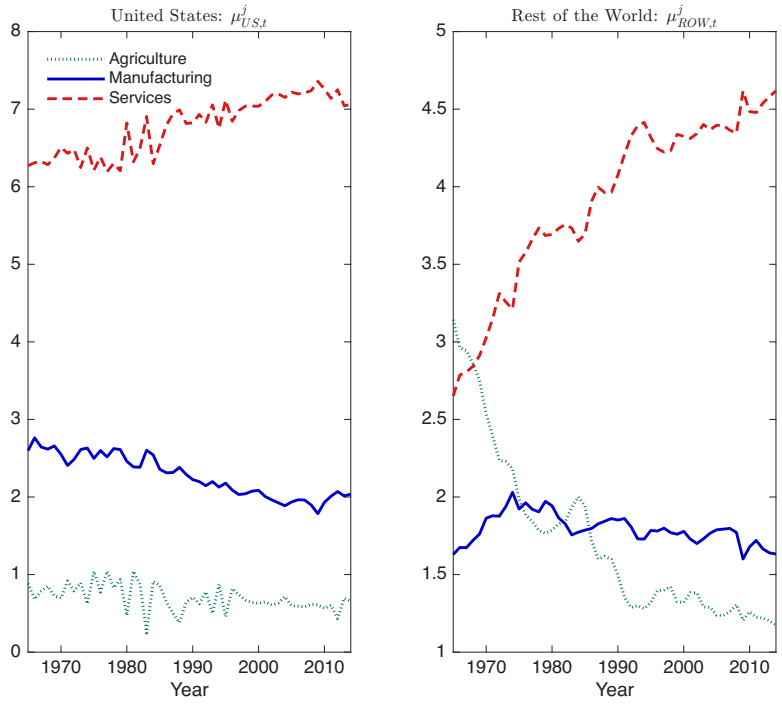
Every figure in this section appears twice: the baseline sector definition on top, and the `data_processing_2` experiment below. The two pipelines read the same raw data and run the same code; they differ only in which sectors count as goods and whether government consumption is counted.

Input–output tables are recorded at basic prices, so the wholesale and retail margin on a consumer good is output of the trade sector and lands in services, while the national accounts count the whole till price as goods. The experiment moves wholesale and retail trade into goods, together with hotels and restaurants, which the pre-2000 tables cannot separate from it, and drops government consumption. That moves about a third of U.S. consumption out of services and into manufacturing, from 75 percent services in 1965 to 41 percent, against 48 percent in the BEA data. The recovered parameters follow: the demand shifters change ordering, so manufacturing starts above services and the two converge rather than diverging, which is the pattern in the 2017 draft. Trade costs and productivities move in manufacturing and services and leave agriculture essentially unchanged, since nothing enters or leaves agriculture.

Table 1: U.S. consumption shares under the two definitions

| | Baseline | | | Experiment | | |
|---|---|---|---|---|---|---|
| Year | Agr. | Man. | Serv. | Agr. | Man. | Serv. |
| 1965 | 0.011 | 0.243 | 0.746 | 0.014 | 0.580 | 0.407 |
| 1990 | 0.006 | 0.192 | 0.802 | 0.008 | 0.469 | 0.523 |
| 2014 | 0.005 | 0.156 | 0.839 | 0.007 | 0.400 | 0.594 |

Baseline: distributive trade in services, government included




Experiment: distributive trade in goods, government excluded

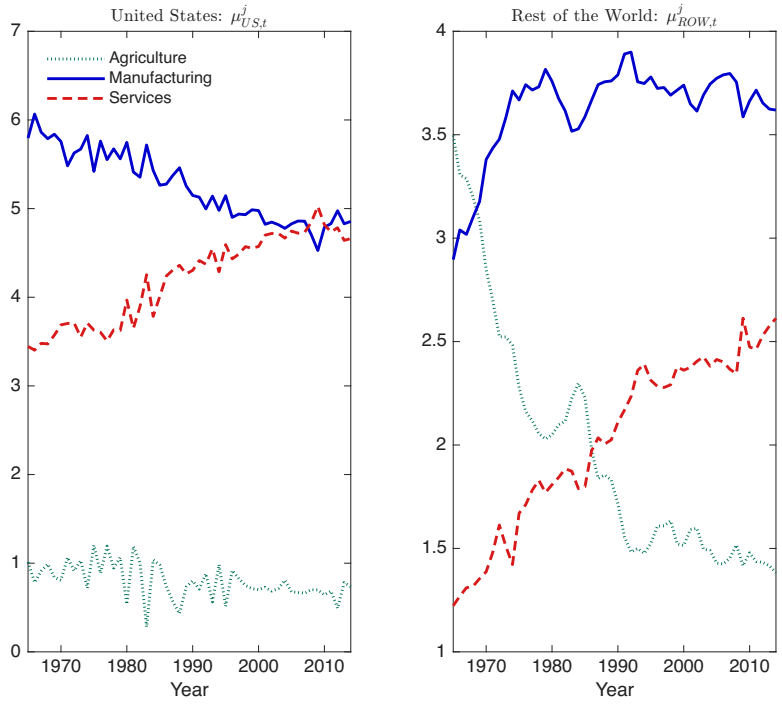
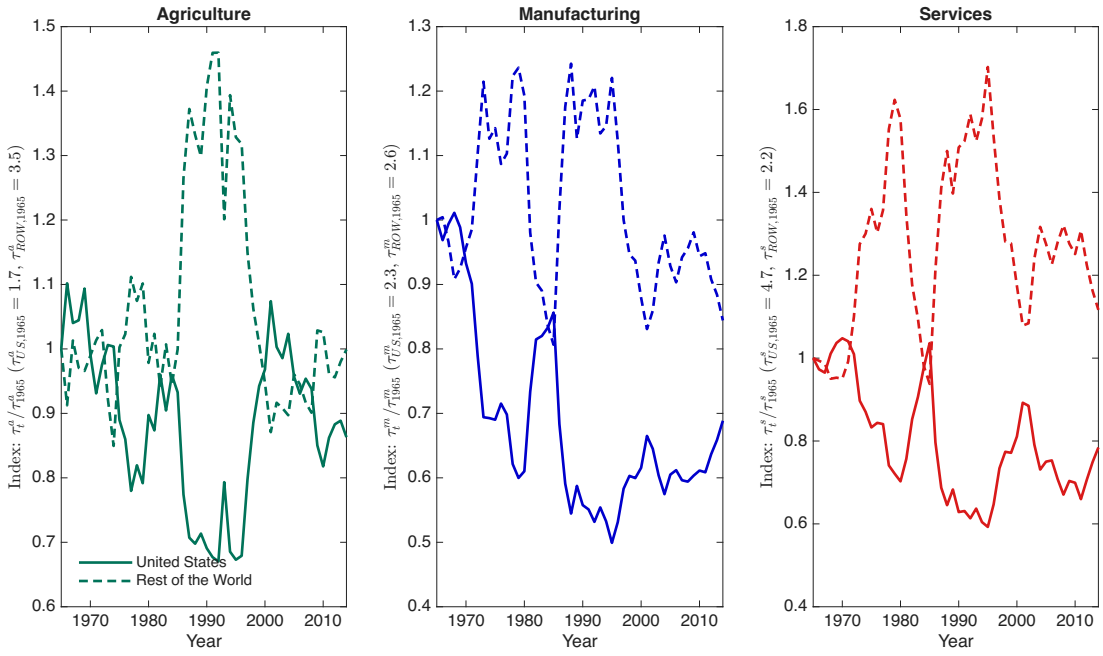



Figure 1: Sectoral demand shifters.

Baseline: distributive trade in services, government included




Experiment: distributive trade in goods, government excluded

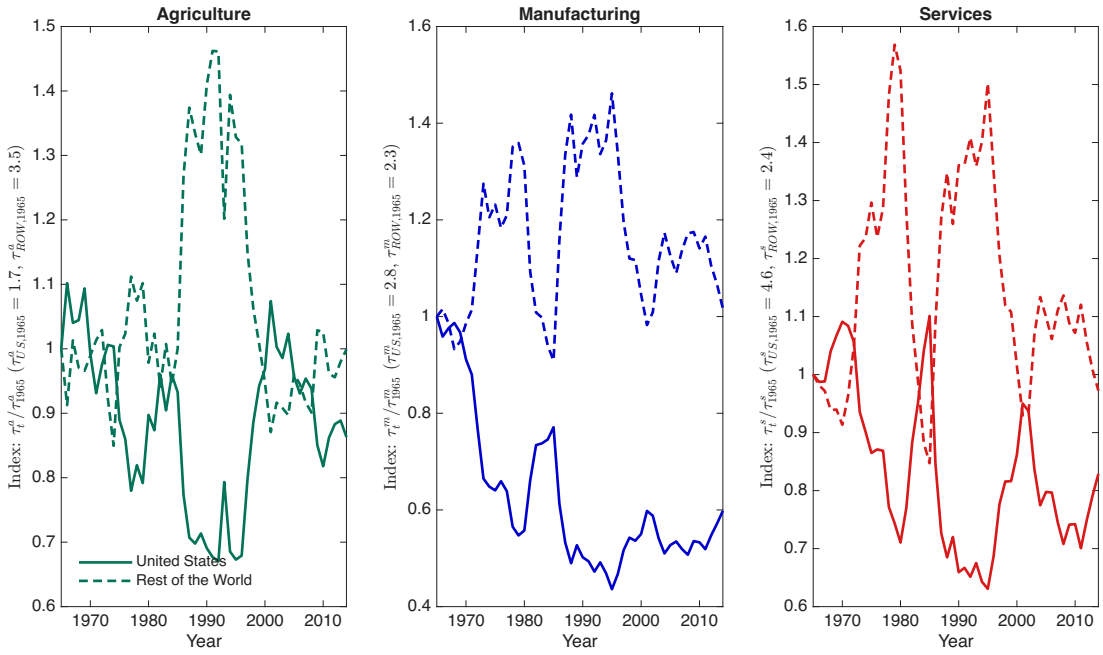
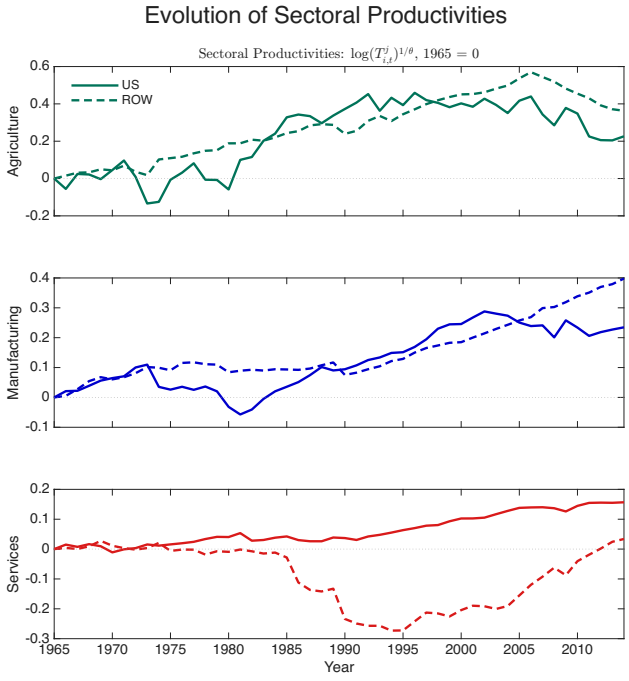



Figure 2: Sectoral trade costs, indexed to 1965.

Baseline: distributive trade in services, government included




Experiment: distributive trade in goods, government excluded

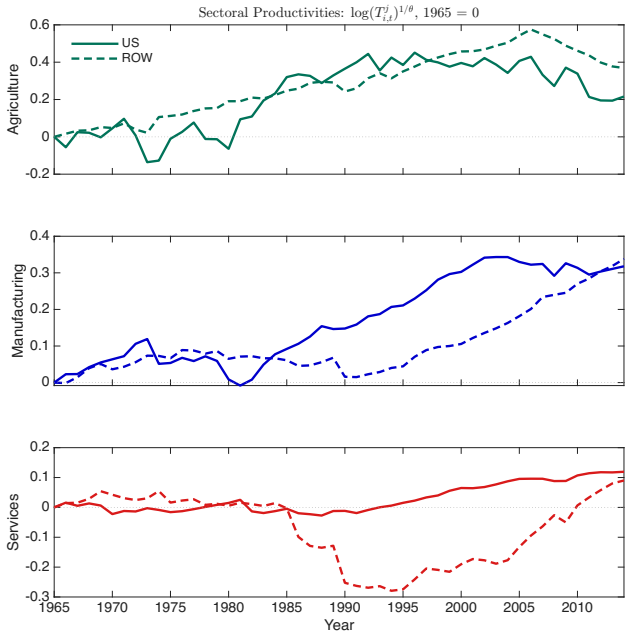



Figure 3: Sectoral productivities, 1965 normalized to zero.

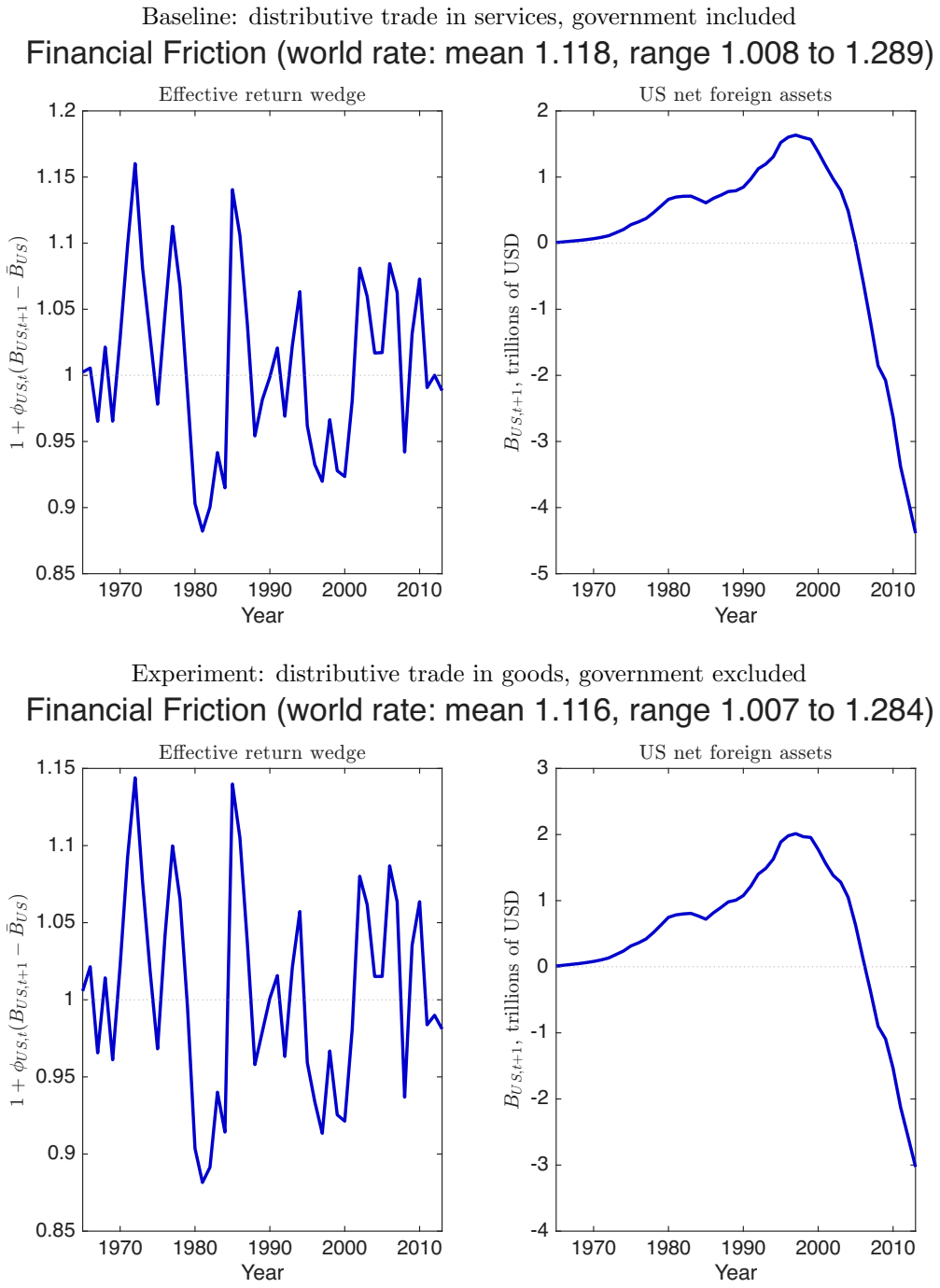
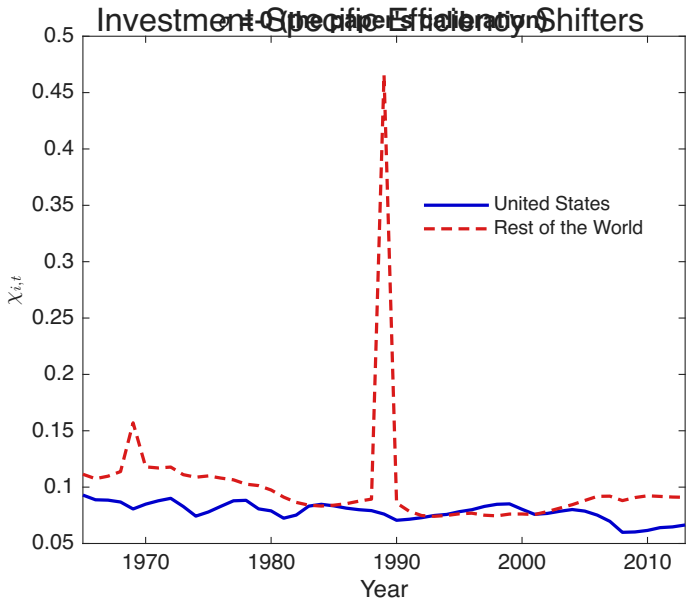



Figure 4: Financial friction and net foreign assets.

Baseline: distributive trade in services, government included




Experiment: distributive trade in goods, government excluded

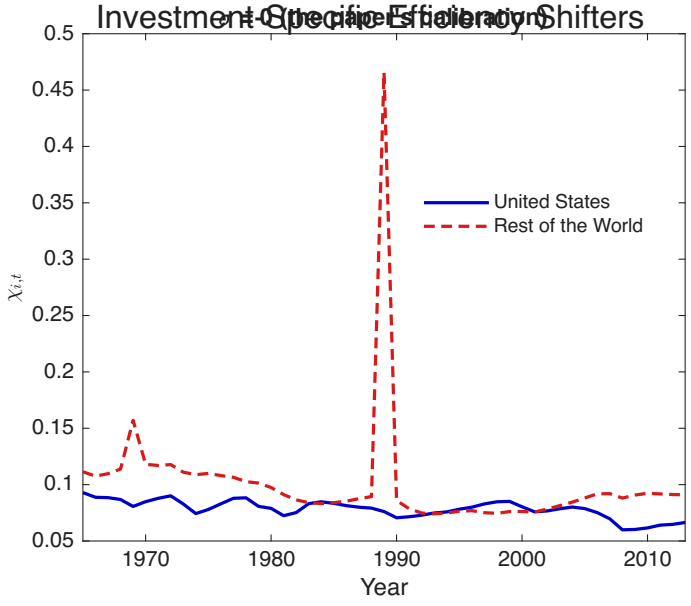
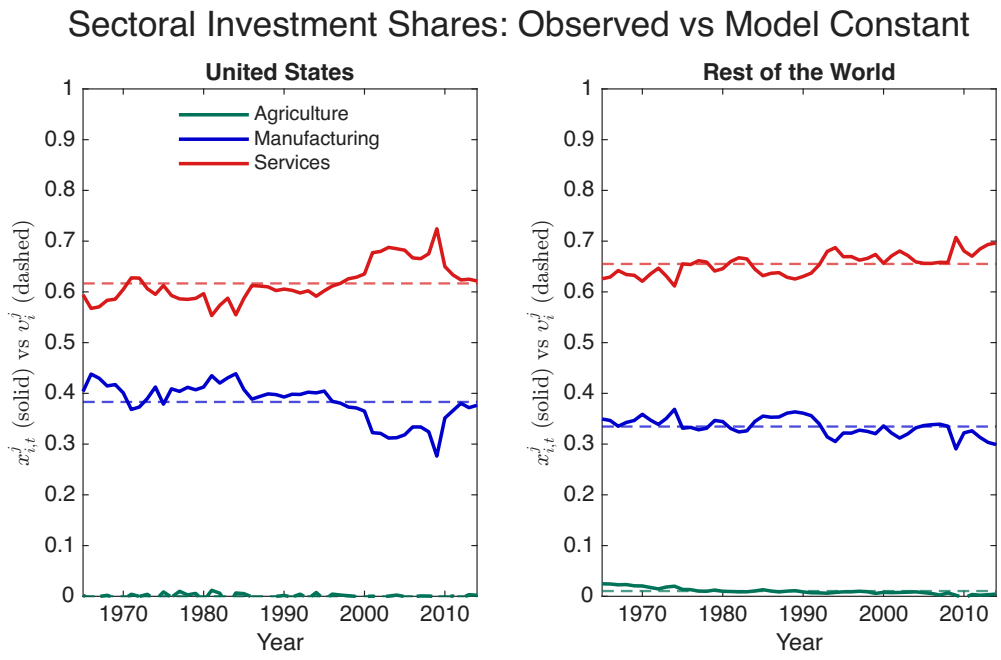



Figure 5: Investment-specific efficiency shifters.

Baseline: distributive trade in services, government included




Experiment: distributive trade in goods, government excluded

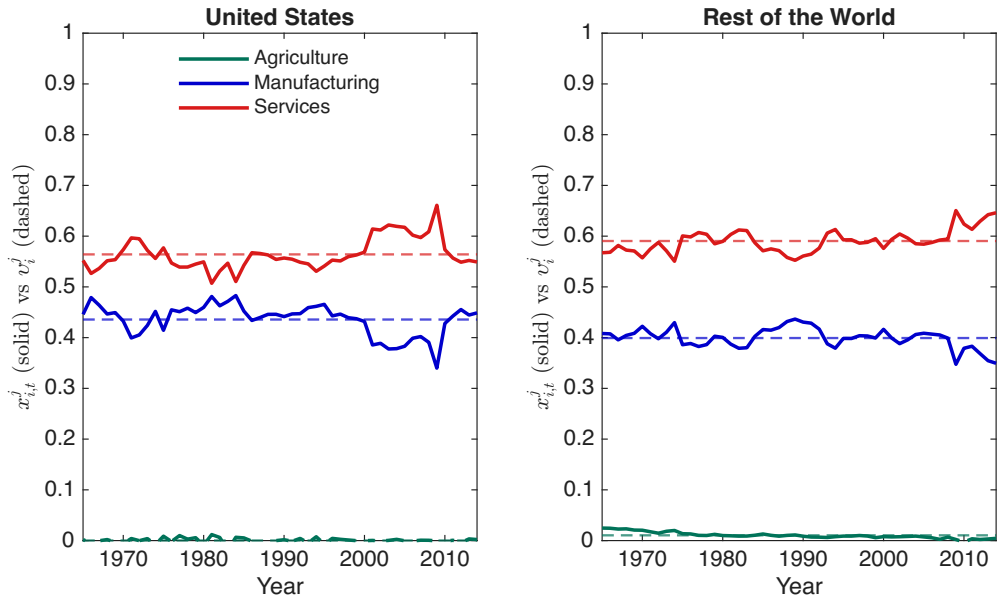
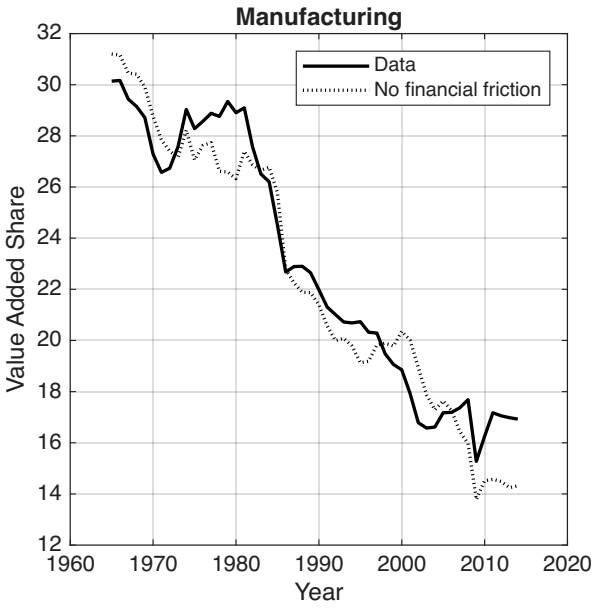
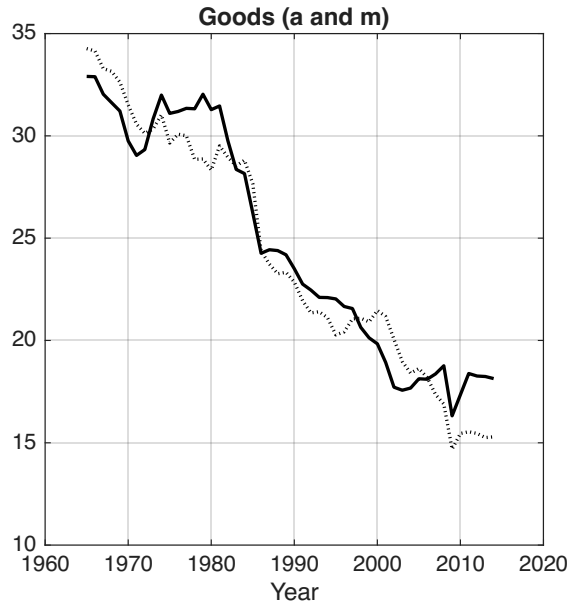


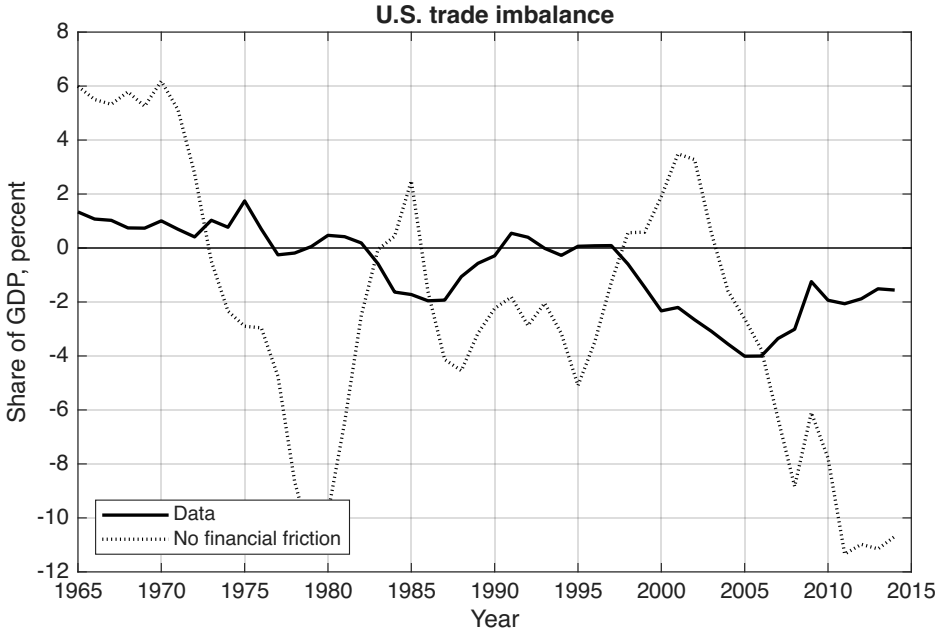

Figure 6: Sectoral investment shares.

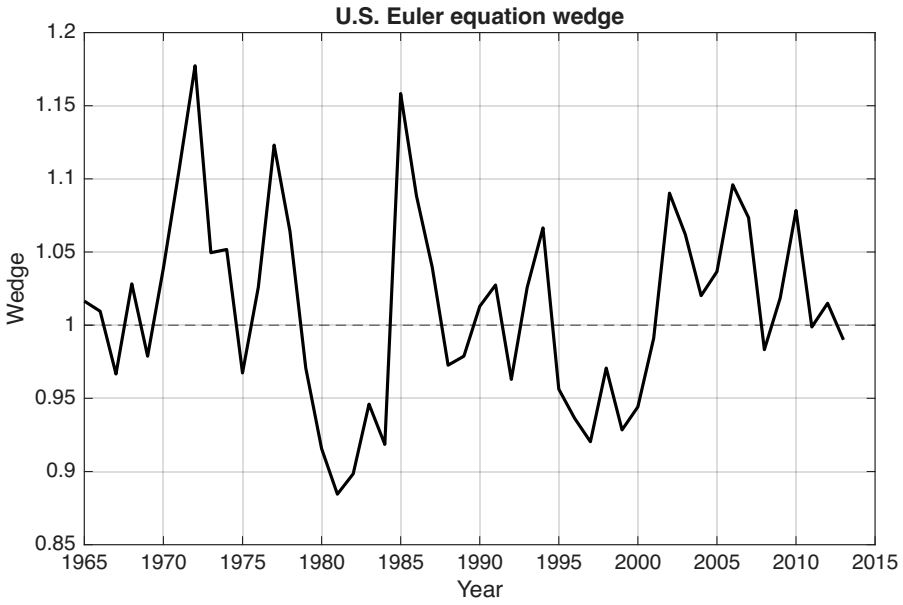
## Counterfactual

Solved on the baseline data.




U.S. Euler equation wedge
Wedge
Year
1.2
1.15
1.1
1.05
1
0.95
0.9
0.85
1965
1970
1975
1980
1985
1990
1995
2000
2005
2010
2015